

Cascadia Public Employees' Retirement System Performance Measurement Report

First Quarter 2026

Prepared by Vectera Advisors

Trade Secret & Confidential

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Portfolio Overview

Since inception, approximately **\$0.54 billion** has been committed or approved for commitment across 17 individual investment positions: 14 funded and carried in the flash, plus 3 open approvals not funded by Quarter-end. Since-inception net IRR is not available; the net equity multiple is not available. The 1Q26 flash does not report these figures.

CPERS has allocated **10.0%** of total plan assets to real estate, with an allowable range of 5-**20%**. At Quarter-end, portfolio NAV was **\$0.46 billion**, or **9.1%** of the **\$5.01 billion** total plan and **91.2%** of its **\$0.50 billion** target real estate allocation. The return objective is to exceed the CPERS Custom Benchmark.

The Portfolio returned **1.05%** net during the Quarter and **5.66%** over one year, against **0.74%** and **3.52%**, respectively, for the CPERS Custom Benchmark.

Investment Guidelines & Fund Statistics

Statistic	Value
Funded investments	14
Approved, not yet funded	3
Total committed or approved	\$539.8M
Flash commitment total	\$456.8M
Market value (NAV)	\$457.0M
Real estate as % of plan assets	9.1%
NAV as % of target	91.2%
Strategic / Tactical split	81.4% / 18.6%
Since-inception net IRR	not available
Since-inception net equity multiple	not available

Portfolio Managers

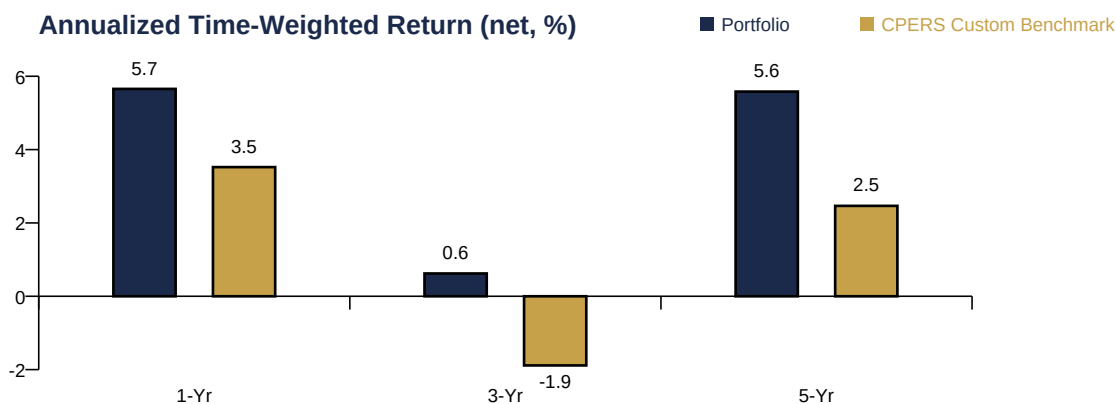
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Annualized Time-Weighted Return



The Portfolio outperformed the CPERS Custom Benchmark across all horizons shown above. Over the trailing year, the Portfolio returned 5.66% net against 3.52% for the benchmark.

Performance Update

The Portfolio generated \$3.5M of gross income and \$2.4M of appreciation. Manager fees were \$1.3M. The Quarter's return was 1.35% gross and 1.05% net.

Attribution - Quarterly Dollar Contribution

Fund	Role	Income	Apprec.	Fees	Contribution
Cornerstone Core Property Fund	largest contributor; largest individual position	540,000	1,450,000	165,000	1,825,000
Kestrel U.S. Real Estate Fund	second-largest contributor	705,000	520,000	78,000	1,147,000
Redwood Logistics Trust	largest detractor; second-largest individual position	352,000	(1,240,000)	62,000	(950,000)
Silverline Core-Plus Fund	second-largest detractor	192,000	(385,000)	123,000	(316,000)

Cornerstone Core Property Fund was the Portfolio's largest contributor and largest individual position, contributing \$1,825,000 during the Quarter. **Kestrel U.S. Real Estate Fund** was the Portfolio's second-largest contributor, contributing \$1,147,000 during the Quarter. **Redwood Logistics Trust** was the Portfolio's largest detractor and second-largest individual position, contributing -\$950,000 during the Quarter. **Silverline Core-Plus Fund** was the Portfolio's second-largest detractor, contributing -\$316,000 during the Quarter.

The quarterly net return changed from 1.28% in the prior report to 1.05%, a change of -23.0 basis points, comparing both returns at displayed precision.

Strategic Portfolio

The Strategic sleeve represented 81.4% of portfolio market value and returned 1.05% net during the Quarter.

Cornerstone Core Property Fund was the Portfolio's largest contributor and largest individual position. The Fund returned 3.37% net during the Quarter, with Quarter-end NAV of \$55.7M and 27.9% LTV. Income of \$540,000, appreciation of \$1,450,000 and fees of \$165,000 resulted in a \$1,825,000 dollar contribution.

One Financial Plaza (Chicago office) was written back up following a full-floor lease to an investment-grade tenant, reversing part of last year's markdown, and Bayfront Apartments (San Diego) appreciated on rent growth as concession burn-off completed, while Prairie Logistics (Kansas City) was held flat.

Beacon Diversified Property Trust returned 1.38% net during the Quarter, with Quarter-end NAV of \$42.5M and 28.4% LTV.

Summit Multifamily Partners returned 1.71% net during the Quarter, with Quarter-end NAV of \$48.9M and 22.6% LTV.

Whitfield Diversified Property Fund returned 0.61% net during the Quarter, with Quarter-end NAV of \$30.8M and 49.4% LTV.

Silverline Core-Plus Fund was the Portfolio's second-largest detractor. The Fund returned -0.63% net during the Quarter, with Quarter-end NAV of \$49.6M and 50.8% LTV. Its fund-level LTV is above the 50.0% Strategic sleeve threshold; the formal compliance test applies to the sleeve as a whole. Income of \$192,000, appreciation of -\$385,000 and fees of \$123,000 resulted in a -\$316,000 dollar contribution.

Two suburban office assets in the Mid-Atlantic were written down on extended lease-up assumptions. The Fund's industrial and residential holdings were broadly stable. Leverage remains elevated at 50.8% LTV, the highest in the Program.

Kestrel U.S. Real Estate Fund was the Portfolio's second-largest contributor. The Fund returned 2.32% net during the Quarter, with Quarter-end NAV of \$50.3M and 24.8% LTV. Income of \$705,000, appreciation of \$520,000 and fees of \$78,000 resulted in a \$1,147,000 dollar contribution.

No manager report was supplied for this Fund for the Quarter; no asset-level drivers are reported.

Redwood Logistics Trust was the Portfolio's largest detractor and second-largest individual position. The Fund returned -1.84% net during the Quarter, with Quarter-end NAV of \$50.6M and 32.6% LTV. Income of \$352,000, appreciation of -\$1,240,000 and fees of \$62,000 resulted in a -\$950,000 dollar contribution.

The markdown was concentrated in two assets, as Gateway Logistics Center (Dallas) was written down due to a large tenant exercising an early-termination option and extended re-leasing assumptions, while Harbor 40 Distribution (Savannah) was marked lower on softening market rents following a wave of competing supply delivered nearby; Cedar Ridge Infill completed its expansion on budget and was held flat.

Harborview Industrial Fund returned 1.38% net during the Quarter, with Quarter-end NAV of \$43.5M and 44.1% LTV.

Tactical and Special Situations Portfolio

The Tactical sleeve represented 18.6% of portfolio market value and returned 1.03% net during the Quarter.

Tidewater Distressed Realty Fund. The Fund completed its wind-down during the quarter. The final residual position was realised and a terminating distribution of approximately \$0.12 million was paid to investors. The Fund's net asset value at quarter-end is zero and the Fund has been dissolved. No further reporting will be issued. The flash separately reports 5.25% net for the Quarter; the termination notice presents no quarterly performance percentages. This difference requires review.

Ironwood Value-Add Fund III returned 2.80% net during the Quarter, with Quarter-end NAV of \$11.3M and 0.0% LTV.

Meridian Opportunity Fund V returned 0.48% net during the Quarter, with Quarter-end NAV of \$30.4M and 41.6% LTV.

Blackford Special Situations Fund II returned 1.45% net during the Quarter, with Quarter-end NAV of \$23.8M and 48.9% LTV.

Northgate Logistics Partners returned 0.17% net during the Quarter, with Quarter-end NAV of \$12.0M and 35.2% LTV. The Fund received \$12.0M in contributions during the Quarter, from a zero beginning NAV.

Ridgeline Value Fund IV returned -1.15% net during the Quarter, with Quarter-end NAV of \$7.5M and 30.4% LTV. The Fund received \$7.5M in contributions during the Quarter, from a zero beginning NAV.

Recent Investment Activity

The Investment Committee approved 3 new commitments for CPERS during the Quarter.

Calder Grove Industrial Partners - \$35.0M, approved January 2026. Not yet funded at Quarter-end.

Calder Grove Industrial Partners is a value-add industrial fund targeting shallow-bay and last-mile distribution assets in inland port and intermodal markets, with a strategy focused on acquiring functionally obsolete assets at a discount to replacement cost, repositioning them, and marking below-market rents to market on rollover.

Beacon Hill Medical Office Fund - \$30.0M, approved February 2026. Not yet funded at Quarter-end.

The **Beacon Hill Medical Office Fund** acquires on- and near-campus medical office buildings affiliated with investment-grade health systems, with a strategy that emphasises long-duration leases, high tenant retention, and modest leverage, targeting a return profile weighted toward current income rather than appreciation.

Auburn Ridge Residential Fund II - \$18.0M, approved March 2026. Not yet funded at Quarter-end.

Auburn Ridge Residential Fund II is the second vintage in Auburn Ridge Capital's residential series, targeting the acquisition and renovation of 1980s and 1990s vintage garden apartments in secondary Sun Belt markets, with a strategy that emphasises unit-interior renovation, operating-expense reduction, and mark-to-market of below-market rents.

Market Update

The latest explicitly quarter-labelled market observations are 4Q25, not 1Q26. These figures should be read as lagged market evidence.

The market deck notes that core real-estate values are stabilizing after the 2023–2024 repricing, with U.S. private funds having turned positive over the past year and a stated preference for industrial / logistics and multifamily, while remaining underweight office and selective in retail. Broad private real-estate funds returned **1.0%** net in the latest quarter and **3.3%** over 1-Yr.

At 25Q4, the NPI value-weighted cap rate was **~4.6%**, against **~4.2%** for the 10-year Treasury yield. The Portfolio's largest property exposures are Industrial at **37.4%** and Apartment at **24.1%**, and the deck forecasts 2028-30 (p.a.) NOI growth of **~1.8%** for industrial and **~1.3%** for residential, with house-view positioning favoring industrial / logistics and multifamily, remaining underweight office, and being selective in retail.

The office exhibit reports, at 25Q4, appraisal cap rate **~5.6%** versus transaction cap rate **~7.7%**, and the transaction/appraisal gap widened from 0.7 to 2.1 percentage points. The market deck highlights that a resurgence in rate volatility could re-widen bid-ask spreads and stall the transaction recovery, while refinancing of 2020–2021 vintage debt at higher rates remains a sector-wide overhang, most acute in office, and slower-than-expected supply absorption is noted in select multifamily submarkets. House-view positioning emphasizes leverage discipline, a tilt toward industrial / logistics and multifamily, underweighting office, selectivity in retail, and patient deployment into the recovery as pricing stabilizes.

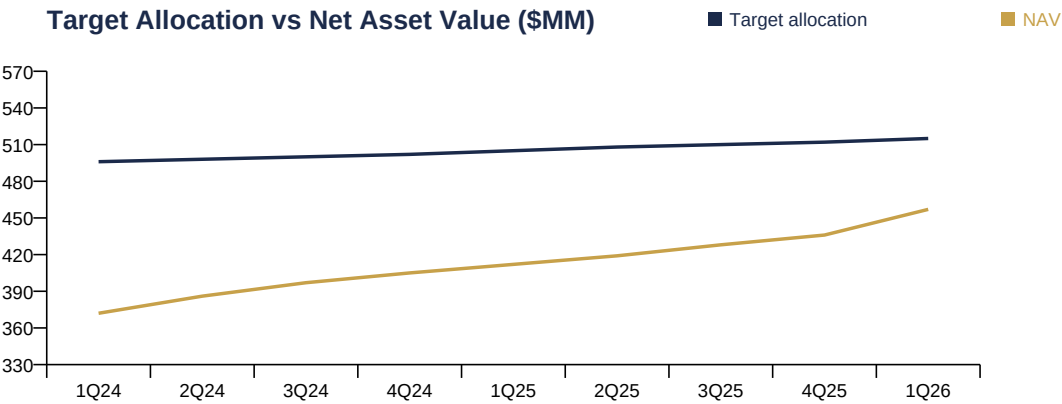
Values marked ~ are approximate gridline readings at their declared precision, not exact underlying observations.

House-view market indices and the CPERS Custom Benchmark are distinct series; the client benchmark is used for the return-objective test.

Allocation Over Time

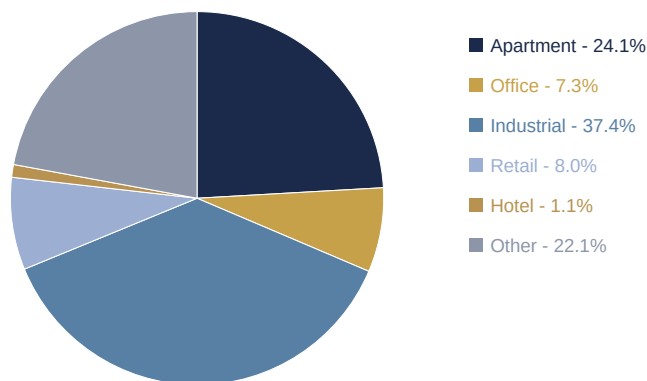
Historical target allocations or NAVs differ from the prior PMR. The revised series requires confirmation.

The Portfolio's net asset value has moved from **\$372.0M** at 1Q24 to **\$457.0M** at Quarter-end, against a target allocation of **\$501.2M**.

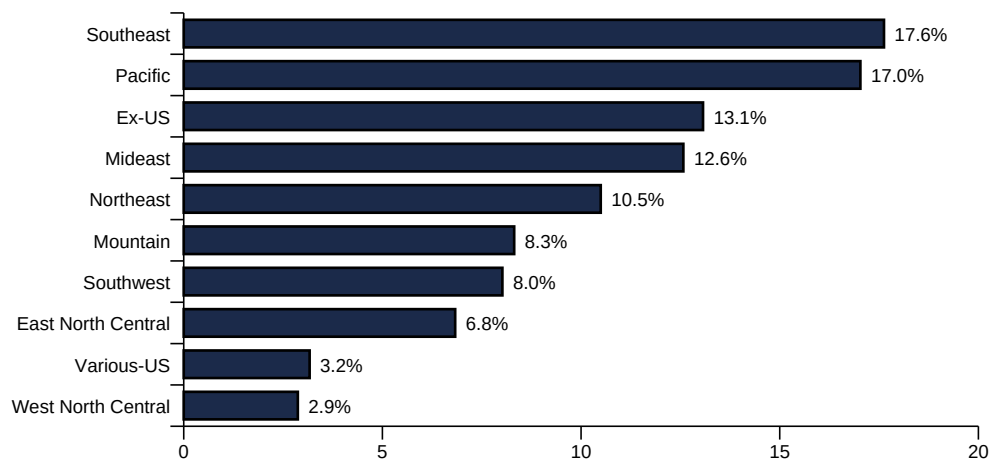


Diversification

Property Type Diversification



Geographic Diversification (% of market value)



Look-through Ex-US property exposure was 13.1%. The compliance test uses the separate fund-level Ex-US classification, 10.3%. These measure property location and fund classification, respectively.

Compliance

Guideline	Limit	Actual	Status
Style / sector concentration	<=40% per sector	37.4% (Industrial)	In compliance
Location diversification	<=35% Ex-US	10.3% Ex-US	In compliance
Leverage (loan-to-value)	<=50% / 75%	34.2% strategic / 36.2% tactical	In compliance
Return objective	Exceed benchmark	5.66% vs 3.52% (1-Yr)	In compliance

Leverage uses the flash's precomputed sleeve LTV subtotals, rather than averaging individual fund ratios.

Disclosure Statements

This Performance Measurement Report has been prepared by Vectera Advisors solely for Cascadia Public Employees' Retirement System and is intended for the exclusive and confidential use of CPERS and its authorized representatives. Performance results are presented net of investment management fees, incentive allocations and fund-level expenses unless otherwise indicated, and reflect the reinvestment of income. Returns for periods of one year or less are not annualized. Time-weighted returns (TWR) are calculated using a Modified Dietz methodology; since-inception internal rates of return (IRR) and equity multiples are money-weighted and reflect the timing and magnitude of capital flows. Market values are based on the most recent valuations reported by underlying fund managers and may reflect appraised rather than transaction values. Past performance is not indicative of future results. All figures in this report are synthetic and were created solely for an evaluation exercise.

Appendix A: Quarterly Flash Report

Cascadia Public Employees' Retirement System | First Quarter 2026

Selected flash exhibits follow the sample PMR. Values retain the source PDF's displayed precision; blank figures are not estimated. The complete flash is available as appendix.pdf in the audit package.

Portfolio Composition (\$)

Flash source page 1

Total Plan Assets	Target Allocation	Market Value	Unfunded	Remaining
\$5,012,480,688	\$501,248,069	\$456,961,449	\$53,085,950	\$44,286,620

Performance Summary (%)

Flash source page 1

Portfolio	Quarter GRS	Quarter NET	1 Yr GRS	1 Yr NET	3 Yr GRS	3 Yr NET	5 Yr GRS
Cascadia Public Employees' Retirement System Portfolio	1.35%	1.05%	7.01%	5.66%	1.66%	0.62%	7.28%

Investment Schedule

Flash source page 1

Investment	Vintage	Commitment	Funded	Unfunded	Returned	Market Value	% NAV
Cornerstone Core Property Fund	2010	\$40,000,000	\$68,232,939	\$0	\$101,261,907	\$55,689,849	12.19%
Beacon Diversified Property Trust	2011	\$40,000,000	\$41,689,404	\$0	\$48,163,654	\$42,544,447	9.31%
Summit Multifamily Partners	2013	\$30,273,946	\$41,960,593	\$0	\$31,941,643	\$48,948,998	10.71%
Whitfield Diversified Property Fund	2016	\$15,910,000	\$20,912,167	\$0	\$9,060,455	\$30,843,684	6.75%
Silverline Core-Plus Fund	2016	\$60,000,000	\$69,338,036	\$0	\$41,880,168	\$49,578,121	10.85%
Kestrel U.S. Real Estate Fund	2017	\$45,630,580	\$49,039,514	\$0	\$19,813,960	\$50,261,238	11.00%
Redwood Logistics Trust	2020	\$40,000,000	\$41,100,937	\$0	\$4,416,721	\$50,615,756	11.08%
Harborview Industrial Fund	2022	\$40,000,000	\$41,272,412	\$0	\$4,532,339	\$43,485,370	9.52%
Strategic Investments	1993	\$311,814,526	\$373,546,002	\$0	\$261,070,847	\$371,967,464	81.40%
Tidewater Distressed Realty Fund	2011	\$20,000,000	\$20,524,591	\$0	\$39,023,996	\$0	0.00%
Ironwood Value-Add Fund III	2015	\$20,000,000	\$19,627,826	\$2,700,807	\$17,823,939	\$11,315,969	2.48%
Meridian Opportunity Fund V	2020	\$20,000,000	\$41,481,787	\$2,147,890	\$27,958,273	\$30,382,150	6.65%
Blackford Special Situations Fund II	2022	\$20,000,000	\$20,996,183	\$2,737,253	\$4,138,861	\$23,828,867	5.21%
Northgate Logistics Partners	2025	\$40,000,000	\$12,000,000	\$28,000,000	\$0	\$12,010,000	2.63%
Ridgeline Value Fund IV	2025	\$25,000,000	\$7,500,000	\$17,500,000	\$0	\$7,457,000	1.63%
Tactical Investments	2004	\$145,000,000	\$122,130,387	\$53,085,950	\$88,945,069	\$84,993,986	18.60%
Vectera Initiated Investments	2010	\$456,814,526	\$495,676,389	\$53,085,950	\$350,015,916	\$456,961,449	100.00%

Quarterly cash activity

Flash source page 3

Investment	Beginning MV	Contrib.	Distrib.	Withdrawals	Income	Fees	Apprec.	Market Value	LTV
Cornerstone Core Property Fund	\$54,424,849		\$560,000	\$0	\$540,000	\$165,000	\$1,450,000	\$55,689,849	27.9%
Beacon Diversified Property Trust	\$41,870,447	\$95,000	\$0	\$0	\$418,000	\$94,000	\$255,000	\$42,544,447	28.4%
Summit Multifamily Partners	\$48,575,998		\$455,000	\$0	\$545,000	\$97,000	\$380,000	\$48,948,998	22.6%
Whitfield Diversified Property Fund	\$30,830,684		\$175,000	\$0	\$110,000	\$67,000	\$145,000	\$30,843,684	49.4%
Silverline Core-Plus Fund	\$50,199,121		\$305,000	\$0	\$192,000	\$123,000	(\$385,000)	\$49,578,121	50.8%
Kestrel U.S. Real Estate Fund	\$49,729,238		\$615,000	\$0	\$705,000	\$78,000	\$520,000	\$50,261,238	24.8%
Redwood Logistics Trust	\$51,915,756		\$350,000	\$0	\$352,000	\$62,000	(\$1,240,000)	\$50,615,756	32.6%
Harborview Industrial Fund	\$43,274,370	\$66,000	\$450,000	\$0	\$470,000	\$65,000	\$190,000	\$43,485,370	44.1%
Strategic Investments	\$370,820,464	\$161,000	\$2,910,000	\$0	\$3,332,000	\$751,000	\$1,315,000	\$371,967,464	34.2%
Tidewater Distressed Realty Fund	\$112,620		\$115,500	\$0	\$2,000	\$500	\$1,380	\$0	0.0%
Ironwood Value-Add Fund III	\$11,103,969		\$98,000	\$0	\$128,000	\$33,000	\$215,000	\$11,315,969	0.0%
Meridian Opportunity Fund V	\$30,237,150		\$0	\$0	(\$25,000)	(\$30,000)	\$140,000	\$30,382,150	41.6%
Blackford Special Situations Fund II	\$23,841,867		\$355,000	\$0	(\$38,000)	\$310,000	\$690,000	\$23,828,867	48.9%
Northgate Logistics Partners	\$0	\$12,000,000	\$0	\$0	\$95,000	\$145,000	\$60,000	\$12,010,000	35.2%
Ridgeline Value Fund IV	\$0	\$7,500,000	\$0	\$0	\$42,000	\$110,000	\$25,000	\$7,457,000	30.4%
Tactical Investments	\$65,295,606	\$19,500,000	\$568,500	\$0	\$204,000	\$568,500	\$1,131,380	\$84,993,986	36.2%
Vectera Initiated Investments	\$436,116,069	\$19,661,000	\$3,478,500	\$0	\$3,536,000	\$1,319,500	\$2,446,380	\$456,961,449	34.6%

Returns and Multiples (%)

Flash source page 2

Investment	Quarter INC	Quarter APP	Quarter GRS	Quarter NET	Market Value
Cornerstone Core Property Fund	1.00%	2.68%	3.68%	3.37%	\$55,689,849
Beacon Diversified Property Trust	1.00%	0.61%	1.61%	1.38%	\$42,544,447
Summit Multifamily Partners	1.13%	0.79%	1.91%	1.71%	\$48,948,998
Whitfield Diversified Property Fund	0.36%	0.47%	0.83%	0.61%	\$30,843,684
Silverline Core-Plus Fund	0.38%	-0.77%	-0.39%	-0.63%	\$49,578,121
Kestrel U.S. Real Estate Fund	1.43%	1.05%	2.48%	2.32%	\$50,261,238
Redwood Logistics Trust	0.68%	-2.40%	-1.72%	-1.84%	\$50,615,756
Harborview Industrial Fund	1.09%	0.44%	1.53%	1.38%	\$43,485,370
Strategic Investments	0.90%	0.36%	1.26%	1.05%	\$371,967,464
Tidewater Distressed Realty Fund	3.64%	2.52%	6.16%	5.25%	\$0
Ironwood Value-Add Fund III	1.16%	1.94%	3.10%	2.80%	\$11,315,969
Meridian Opportunity Fund V	-0.08%	0.46%	0.38%	0.48%	\$30,382,150
Blackford Special Situations Fund II	-0.16%	2.92%	2.76%	1.45%	\$23,828,867
Northgate Logistics Partners	1.58%	1.00%	2.58%	0.17%	\$12,010,000
Ridgeline Value Fund IV	1.12%	0.67%	1.79%	-1.15%	\$7,457,000
Tactical Investments	0.27%	1.51%	1.79%	1.03%	\$84,993,986
Vectera Initiated Investments	0.80%	0.55%	1.35%	1.05%	\$456,961,449
CPERS Custom Benchmark				0.74%	\$0

Diversification and Annual Returns

Property Type Diversification (%)

Flash source page 4

Portfolio	Apartment	Office	Industrial	Retail	Hotel	Other
Cascadia Public Employees' Retirement System Portfolio	24.1%	7.3%	37.4%	8.0%	1.1%	22.1%

Geographic Diversification (%)

Flash source page 5

NE: Northeast; SE: Southeast; SW: Southwest. Central-region labels are abbreviated.

Portfolio	NE	Mideast	E. North Central	W. North Central	SE	SW	Mountain	Pacific	Various US	Ex-US
Cascadia Public Employees' Retirement System Portfolio	10.5%	12.6%	6.8%	2.9%	17.6%	8.0%	8.3%	17.0%	3.2%	13.1%

Fund-level classification: US Portfolio: 89.69% of market value; Ex-US Portfolio: 10.31% of market value. These are separate from the look-through exposures above.

Annualized Net Time-Weighted Return (%)

Flash source page 6

Investment	1 Yr	3 Yr	5 Yr
CPERS Custom Benchmark	3.52%	-1.89%	2.47%
Cascadia Public Employees' Retirement System Portfolio	5.66%	0.62%	5.58%